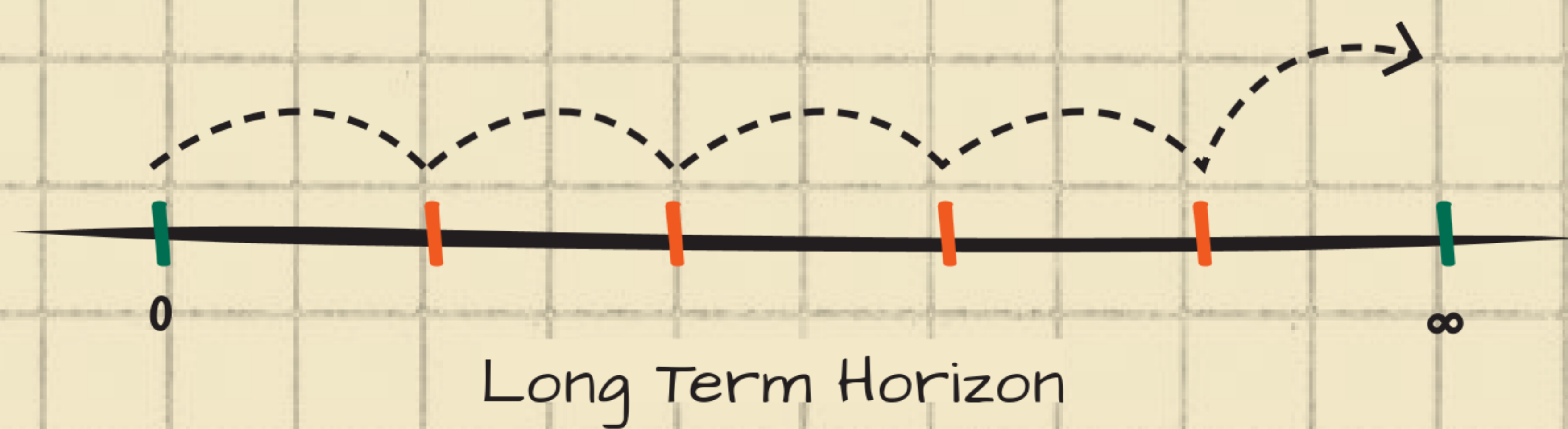




▲ Increased risk by investing in stock market

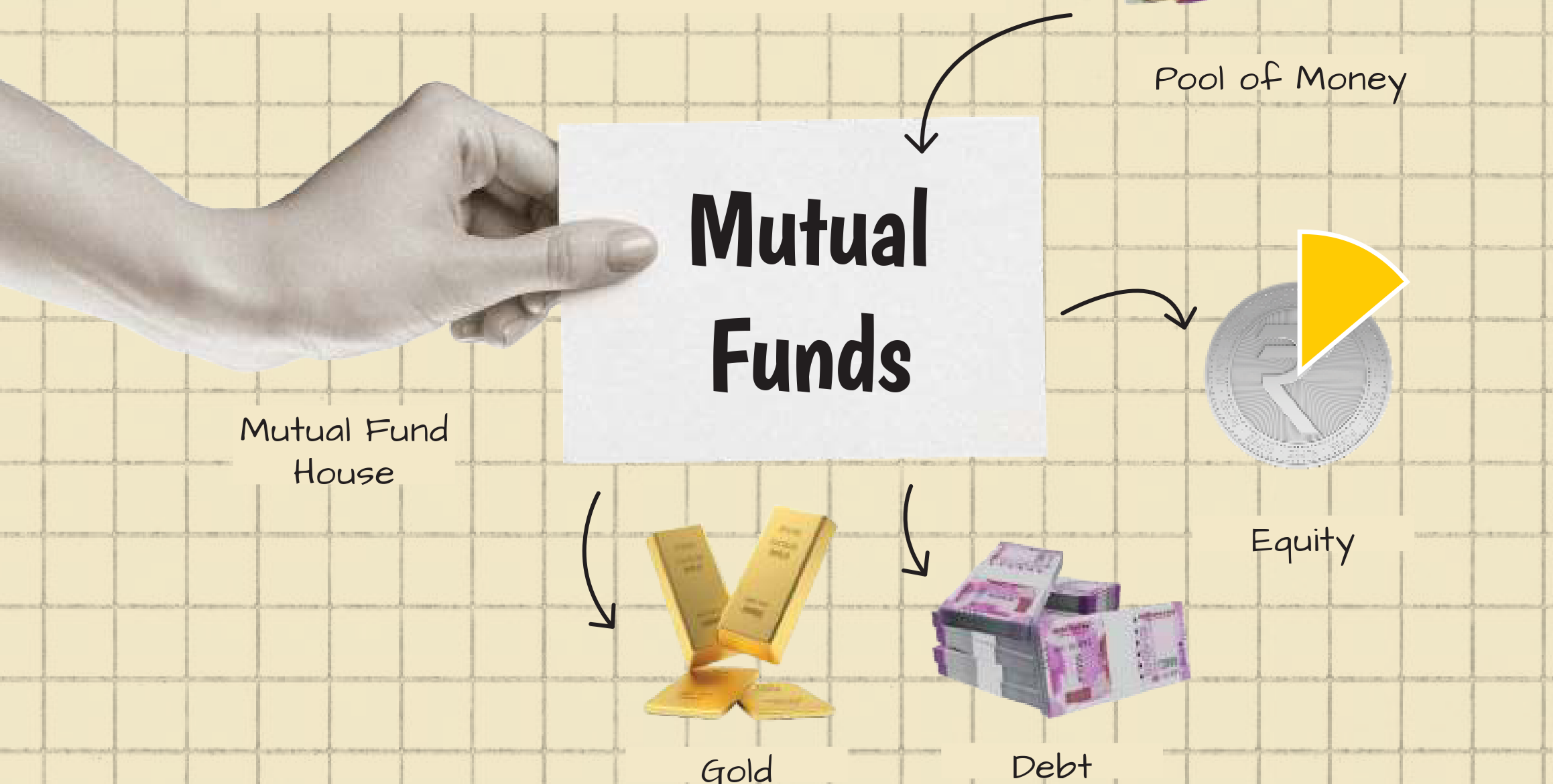
So, throughout the book, I kept saying that when you have a long-term horizon then you can take more risk and invest in the stock market.

Okay! Great! But how to do that?

There are 5000+ companies listed on the stock market. It can get overwhelming to start and that is where Mutual Funds come in.

How?

Mutual funds are structured in a way that makes investing in the stock market easier.



Mutual funds pool money from investors like you and me to invest in companies listed on the stock market, in a way making us part owners. Some funds also invest in other assets like debt and gold.

However, the beauty is, that we don't have to decide where to invest, when to invest – that's the job of a fund manager. They invest our money on our behalf based on the fund's goal, and the gains are then distributed among us investors after deducting some management fees.